

PeopleStrong Incentive Plan

Year 2025-26

Version 16.2

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PeopleStrong - Incentive Plan

A. Plan Objective

The Objective of PeopleStrong Incentive Plan are:

1. Build and enhance a culture where:
 - a. Employees' performance is linked to an appropriate portion of their compensation through the achievement of pre-defined goals and objectives.
 - b. Functions, teams, and individuals focus on three to four goals or objectives each, either at the company, functional, project, or individual levels, that are most strategic for company performance for the year.
2. Pay differential compensation based on actual achievement vis-à-vis the pre-defined goals and objectives.
 - a. Exceeding the target leads to increased incentives.
 - b. Achievement below target leads to lower incentive. Achievement below the defined threshold leads to no incentive.

B. Plan Participation

1. All employees of PeopleStrong except Business Group (Sales, Marketing, Solutioning, Commercial and Demand Generation) and CXOs who are part of the Core group.
2. Employees eligible for this plan will receive details about their participation through their Offer Letters when joining or if there are any changes later. The incentive amount will be based on the parameters defined in this plan. The incentive in OTE, mentioned in the offer letters, will be calculated according to this policy for all eligible employees.
3. This policy is effective April 01, 2025, till March 31, 2026, company has a right to change any of the parameters without any prior notification.
4. The ARR target for FY26 is INR 260 crores and the minimum threshold to qualify for annual incentives is INR 250 crores. If the organization fails to achieve the desired target, no one will qualify for the annual incentive.
5. Chief Executive Officer (CEO), and Chief People Officer (CPO) are authorized to make any change or exception in this policy.

C. Weightage of Incentive on "On Target Earnings (OTE)" for the year 2025-26

The performance incentive is the percentage of overall OTE (On Target Earnings) for various Work Levels (WL)/grades given below:

Work Level	Grade	CET, TDT, CST & AppSupport	COT & Tech Development)	Internal Support Groups and Corporate	Transformation
V	G12	35%	35%	35%	35%
IV	G10B - G11 (Leadership)	35%	35%	20%	20%
III & IV	G8 - G10A	10%	10%	10%	15%
II	G5 - G7	10%	NA	10%	15%
I	G1 - G4	5%	NA	NA	15%

Table I: Weight of Performance Incentives for various Work Levels

The performance criteria would vary across Work Levels I to IV.

Work Level	Grade	Company Revenue	Company EBIDTA	Company DSO*	CET Productivity	Individual Scorecard	Payment Frequency
IV	G10 - G11	40%	40%	20%		-	Annual
III	G8 – G9	25%	25%	20%	30%		Annual
II	G5 - G7	20%	30%	20%	30%		Annual
I	G4	-	-	-		100%	Quarterly
I	G1 - G3	-	-	-		100%	Monthly

Table II: Performance Criteria Grid – CET (HR Shared Services)

Work Level	Grade	Company Revenue	Company EBIDTA	Contractual SLA	Appsupport Productivity	Individual Scorecard	Payment Frequency
IV	G10 - G11	40%	40%	20%		-	Annual
III	G8 – G9	20%	30%	20%	30%		Annual
II	G5 - G7	20%	30%	20%	30%		Annual
I	G4	-	-	-		100%	Quarterly
I	G1 - G3	-	-	-		100%	Monthly

Table III: Performance Criteria Grid –AppSupport (*Overall Company)

Work Level	Grade	Company EBIDTA	Revenue	Implementation Time	Company DSO	Payment Frequency
III - IV	G8 - G11	30%	20%	30%	20%	Annual

Table IV Performance Criteria Grid – COT

Work Level	Grade	Company ARR Growth	Company EBIDTA	NRR	Company DSO	Payment Frequency
IV	G10 - G11	25%	25%	30%	20%	Annual
I, II & III	G1 – G9	20%	20%	40%	20%	Annual

Table V: Performance Criteria Grid – CST

Work Level	Grade	Company ARR Growth	Company EBIDTA	Payroll & Compliance Revenue	Payroll & Compliance Contribution Margin	Overall Payroll & Compliance DSO	Individual	Payment Frequency
III & IV	G10 - G11	25%	25%	25%	15%	10%	-	Annual
III	G8 - G9	25%	25%	25%	15%	10%	-	Annual
II	G5 - G7	15%	-	50%	35%	-	-	Annual
I	G4	-	-	35%	-	-	65%	Quarterly
I	G1 - G3	-	-	-	-	-	100%	Monthly

Table VI: Performance Criteria Grid – TDT (Payroll & Compliances)

Work Level	Grade	ARR Growth	EBIDTA	Stability	Payment Frequency
III & IV	G10 - G11	50%	50%	-	Annual
III	G8 - G9	45%	30%	25%	Annual

Table VII: Performance Criteria Grid – Tech Development & Transformation

Work Level	Grade	EBIDTA	ARR Growth	Payment Frequency
IV	G10 - G11	50%	50%	Annual
III	G5 - G9	50%	50%	Annual

Table VIII: Performance Criteria Grid – Corporate & ISG

D. Incentive allocation for Up-selling/Cross-selling

- i. **Up-Selling /Cross-Selling:** Upselling is a highly collaborative process that requires close coordination between Sales and Customer Success/account management team to achieve true success. To ensure efficient collaboration between teams, the grid will define the operating landscape. Here, ARR is determined as the differential upsell value arising from the sale of additional modules.

Table IX: Up-Selling/Cross-Selling credit allocation for individual contributor's

Upto INR 40 Lac ACV	Above INR 40 Lac ACV
4% of ACV The Customer Happiness team will directly close the deal with the customer without the involvement of the sales team	Sales Person: 4% of ACV and Customer Happiness Team: 4% of ACV

The commission will be paid once the organization receives payment from the customer, as per the quarterly payout cycle outlined for sales team. Incentive credit will be allocated based on the work completed by the individual, as defined in **Table V: Credit % Distribution of Total Weightage**.

Activity/Task	Key Responsibility (Based on function)	Credit % of the Total Weightage
Identifying Need with a brief outline.	CSM/ Principal Consultant / Payroll & Compliance Manager/ Integration Manager	25%
Define scope of the agreement and take a sign-off from customer	CSM/ Principal Consultant / Payroll & Compliance Manager/ Integration Manager	25%
Commercial Negotiation and formal approval from the customer on e-mail	CSM/AD/Delivery Manager	25%
Collections from the customer	AD	25%

Table X: Credit % Distribution of Total Weightage

CST/KAM (G10)	CXO (G10A & above)
1%	0.5%

Table XI: Incentive % for People Manager's New Upselling (Customer Happiness and Sales Team)

- d) CTT (Customer Technology Team) revenue refers to any revenue earned from customizations charged to new or existing customers that require development efforts from the dedicated CTT team or through new hiring. This will be considered as CTT Revenue. CTT excludes revenue earned through change requests and standard integrations. CTT revenue shall not be counted in any ACV/ARR.

E. Go-for the Moon

The *Go for the Moon Awards* grid reflects the incentive multiplier applicable to employees based on their performance against the targets defined for their respective roles. Employees who achieve more than 100% of their targets qualify for the Go for the Moon kickers. The multipliers for *Go for the Moon* are enumerated in Tables XII and XIII below.

Achievement Target	Incentive Multiplier
Less than 80% of Target	NIL
80% to 100%	1
>100% to 110%	1.1
>110% to 120%	1.2
>120%	1.75

Table XII: "Go for the moon" multipliers for WL1

Achievement Target	Incentive Multiplier*
Less than 90% of Target	NIL
90% to 100%	1
>100% to 110%	1.1
>110% to 120%	1.2
>120%	1.5

Table XIII: "Go for the moon" multipliers for WL2 & above

E. Performance Criteria & Payment Cycle

1. **Individual Contributors (G6 & above):** Evaluation will be based on respective SBU / Function / Project financials / SLAs, unless otherwise defined in the relevant performance grid table. In case any employee is handling multiple projects, the incentive score will be calculated based on the weighted average (as per timesheet) of all applicable projects.
2. **Individual Contributors (G0 to G4):** Payment of incentive will be made based on the incentive payment cycle with the salary of the second month, following the performance review quarter, refer to the table above the frequency.
3. **People Manager (G4):** Incentives will be paid on a quarterly basis.
4. **People Managers (G5 & above):** Payment of incentives will be annually, based on the applicable grid.

F. Rewards & Recognition: (Applicable to PeopleStrong Incentive Plan)

The Rewards and Recognition plan is designed to encourage employees to make a performance difference. The policy recognizes achievements or accomplishments that contribute to the overall objectives of the Company. Table VII defines various rewards applicable on defined benchmarks to Work Level I, II, and III for the PeopleStrong Team. The employee should have completed a minimum of 12 months during the financial year 2025-26. The company may decide to award all or some of the employees who become eligible for the Awards and the decision of the company is final and binding. The reward amount will be paid with the Salary for Oct 2025 subject to employee is active (Employment status should not be resigned) at the time of payment.

Target Achievement - BG1 (Work Level I)	Rewards
Team members who have achieved at least 120% of their targets in 10 months and 110 % in 2 Months. Overall average should be 120%	Silver Club Recognition during Peepzen Summit for Q2 & Reward of Rs. 30,000
Team members who have achieved 120% of their targets in 12 months.	Gold Club Recognition during Peepzen Summit for Q2 & Reward of Rs. 50,000
Team members who have achieved at least 125 % of their targets in all 12 months.	Purple Club Recognition during Peepzen Summit for Q2, with a two-wheeler worth up to INR 1 lakh.

Target Achievement - Work Level II & III	Rewards
Team members who have achieved at least 105% of their targets as per incentive payout frequency (All incentive parameters)	Silver Club Recognition during Peepzen Summit for Q2 & Reward of Rs. 60,000
Team members who have achieved at least 110 % of their targets as per incentive payout frequency.	Gold Club Recognition during Peepzen Summit for Q2 & Reward of Rs. 1,00,000
Team members who achieve 125% of the targets as per incentive payout frequency.	Purple Club Recognition during Peepzen Summit for Q2 & Trip to Singapore for two for 4 nights (Stay & Fare payable- Max. up to 3.0 lacs)

Table XV: Applicable rewards over and above the “Go for the moon” plan

G. Overall Definitions and Targets

1. WL1 to WL3:

- a. There is an upper capping of any individual scorecard at 125%, hence the score shall never exceed 125% of the scorecard in any scenario. If customer revenue is less than 100% of the respective project/function, the capping on overall scorecard shall be 100%.
- b. At WL1 any new joiner will have a default score of 80% for the first month of his tenure.
- c. DSO target will be calculated at the organization/function level.

2. WL4 & above

- a. There is an upper capping of 125% on all the incentive parameters defined in Table II, III, IV, V, VI, and VII.
- b. The kicker over 100% on EBIDTA will be applicable only if the revenue achievement is 100% otherwise, the maximum capping on EBIDTA is 100%.
- c. DSO target will be calculated at the organization level.

3. Targets:

- a. Annual Recurring Revenue (ARR) Growth: 30.1%
- b. Revenue Target: INR 237 crores
- c. EBIDTA Target: +5.6 crores
- d. NRR: 112%
- e. Contractual SLA: Appsupport & CET is 95% target, and the threshold is 85% achievement. Anything less 85% SLA – Zero
- f. CET Productivity Target: 99000 per FTE
- g. Appsupport Productivity Target: Reduce ticket volume by 4000 per month (from 15000 to 11000).
- h. COT Implementation Time: 80% of projects in India to be implemented within 120 days (across all modules), and within 140 days for Middle East countries.
- i. Technology Stability: Less than 5 PO's in the entire financial year.
- j. DSO for all the verticals/functions: Overall DSO target is 60 days, which will be cumulative of billed and unbilled amounts.

4. Payroll & Compliance: WL2 & above incentives will be calculated on the overall Payroll & compliance function cumulative target and achievement

5. Participation in the “PeopleStrong Incentive Plan” for all the new joiners in PeopleStrong will be from the date of joining. However, there will be no target for any new employee for the 1st month (30 days from the date of Joining)

6. Weightage of Incentive on On Target Earnings (OTE) for the year 2025-26

- a. The percentages are indicative of the structure requirement of the job. In case of any conflict in the incentive structure defined here and, in the compensation, the letter issued to the employee, the structure as mentioned in the compensation letter would apply.
- b. If there is a change in the Grade (e.g., from 4 to 5), the base gross salary would be the same, and the variable would be revised according to the relevant aforesaid above structure. However, the new structure to apply from the date of communication and revised compensation letter issued to the employee.
- c. Similarly, an employee who transitions from a job where the PeopleStrong Incentive Plan does not apply to a job where PeopleStrong Incentive Plan is applicable, he/she will receive PeopleStrong Incentive Plan from then onwards, just like a new employee. Payment of incentive in the earlier job would be based on the applicable incentive plan for that job, if any. All such payments would happen on the scheduled payment dates, as defined in this plan.
- d. Employees who are on the rolls of PeopleStrong on the date of incentive payment are eligible to receive the incentive for that performance review period. Employees who leave the services of the company before Incentive payout, even if worked till the last working day of that performance review period, would not be eligible to receive the incentive for that period. In case any employee was on the rolls of the

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company at the time of incentive payout but there is a delay in incentive payment for any reasons the amount will be paid to the employee along with full & final settlement.

- e. In case an employee is performing two or more roles simultaneously, his/her incentive would be calculated based on the effort allocation by the employee in different roles. Calculation of time would be done from the timesheet/payroll.
- f. In case of new project signed during the current financial year, their revenue target will be the revenue forecast estimated at the beginning of every quarter which is mentioned in the project DSO at the time of signing the contract.
- g. In case any individual's is tagged to allocable then they will be governed by org wide overall DSO achievement.
- h. In case of any variable percentage as a part of employee compensation structure, which isn't as per the table I, the incentive parameters for the purpose of incentive calculation would be as per the next Work Level clause defined in the respective functional tables.
- i. In case there is no data available for any of the parameters defined in the incentive policy at the time of incentive calculation, the incentive weightage for that parameter will be considered against BG1 revenue target achievement.

7. For calculating people manager incentive, people manager's managers team target will be considered.

- a. In case any individual has closed all the above task independently then 100% credit will be given to that individual.
- b. Organic and non-organic growth won't be counted in Upselling.
- c. Any calibration of payment received in the subsequent payment cycle will also happen on a quarterly basis.

8. Payment of Incentive

- a. Incentive pay-outs would be done as per the frequency defined for different grades and employees should be on the rolls of the company as on the date of payment of incentive.
- b. The company would approve the payment of incentives based on the actual performance as compared with the targets/benchmarks. Please note:
 - i. No incentive is payable for the period during which the performance classification is "Doesn't meet expectation" The final performance rating at the time of payout of incentives will be considered.
 - ii. For new employees hired during the review period whose first performance review does not become due before the end of the fiscal year/month/quarter (as per the incentive plan), their individual rating would be considered as "Partially meets expectations". In such a scenario, incentives will be paid on a pro-rata basis as per the scorecard achievement / 75% if score is not available.

9. Special Reward and Kicker

Example WL 1

OTE		INR 300,000 Fixed: INR 2,90,000 Variable: INR 10,000	
Individual Score Card Achievement %	Multiplier	Incentive Amount (INR Per annum)	Monthly Amount (INR)
47%	0	0	0
80%	1	8,000	667
110%	1.1	12,100	1,008
115%	1.2	13,800	1,150
125%	1.75	21,875	1,823

Table XVI: Incentive calculation example for WL1

Example WL 2

OTE		INR 12,00,000 Fixed: INR 11,40,000 Variable: INR 60,000
Individual Achievement %	Multiplier	Incentive Amount (INR Per annum)
47%	0	0
90%	1	54,000
110%	1.1	72,600
115%	1.2	82,800
125%	1.5	1,12,500

Table XVII: Incentive calculation example for WL2& above

10. **Referral for a valid Lead:** In case anyone gives a valid qualified lead to sales team then an employee will be entitled for referral for sales lead. This amount will be paid post 3 months from the contract signed date and it is not applicable for demand generation and grade 10 & above employees. All the leads which have been formally registered on the system through the Sales enablement team (Centralized MIS) will be only considered for referral amount.

ACV	Amount (INR)
<15 Lacs	15,000
15 Lac to 50 lacs.	40,000
>50 lacs	75,000

Table XVIII: Sales Lead referral reward